

Airfare is not regulated by the government and is driven by market factors such as demand, supply, seasonality, and fuel costs. However, the Budget allocation sets an agenda for the airline industry to follow. Passengers are pinning hopes on some relief on this front.

WHAT IS TO BE DONE?

Industry players expect the FY26 Budget to focus on expanding the National Infrastructure Pipeline (NIP) to foster greater private sector participation; increase funding for critical areas such as highways, Railways, renewable energy, and water supply systems; and encourage investment in sustainable and resilient infrastructure, which will not only generate growth but also enhance environmental sustainability.

“We believe that a well-structured Budget that emphasises these areas will contribute to accelerated GDP growth and help India maintain its position as one of the fastest-growing economies globally. We hope to see the government align budgetary allocations with these priorities to support the vision of becoming a \$7-trillion economy,” says Shirvaikar of Patel Engineering.

The industry feels that the Budget should look into innovative financing models such as infrastructure bonds, sovereign wealth funds, and green finance to ensure a steady flow of capital into large infrastructure projects.

Another key demand is simplifying the tax structures for infrastructure investments. This, they argue, will encourage more domestic and foreign capital inflows. “Surety bonds are essential in the infrastructure sector as they provide financial security and ensure project completion. These bonds help mitigate risks, enhance contractor credibility, and foster trust in large infrastructure projects,” Shirvaikar adds. By ensuring financial accountability, surety bonds facilitate smoother project execution, reduce delays, and attract investment.

Dimitrov Krishnan, Chairperson of Infrastructure Equipment Sector Council (IESC), says continued budgetary support is vital. “The government must focus on demand creation while facilitating industry with technological advancements. Support for electrification, such as tax benefits for electric machinery and mandating the use of sustainable technologies, would be a game changer,” says Krishnan, who is also Managing Director of Volvo Construction Equipment-India Business. He adds that accelerating water-related projects, including river linking to balance water resources, could unlock massive potential for the construction sector.

The government’s vision for a developed India, or Viksit Bharat, by 2047 has set a clear agenda for infra-



KAVITA SHIRVAIKAR

Managing Director, Patel Engineering Ltd

“...a well-structured Budget that emphasises these areas will contribute to accelerated GDP growth and help India maintain its position as one of the fastest-growing economies globally”



VIVEK LOHIA

Managing Director, Jupiter Wagons Ltd

“Projected investments of \$200–250 billion in high-speed rail, freight corridors, and modernisation need to be realised to enhance connectivity, reduce logistics costs, and position India as a global economic powerhouse”

structure development, requiring the country to be infrastructure-ready a decade earlier. This necessitates fast-tracking projects across transportation, urban infrastructure, housing, and water supply.

Budget 2025-26 is expected to provide further impetus to this vision to unlock India’s vast economic potential and make development more inclusive. **BT**

@richajourno